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WEEKEND ANALYSIS

Startup interns can earn \$200 an hour. Others are asked to work for free.

By [Michael Bodley](#)

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Should startup interns be paid?

The answer appears to be yes, and the law requires it in many cases. That became clear this week to Max Greenwald, co-founder and CEO of the AI startup [Warmly](#), after he

posted on LinkedIn looking for an intern “who wants to experience the chaos of a scaling early stage VC-backed startup.”

The catch? The internship, based in the Bay Area, would be unpaid. The criticism on social media arrived swiftly.

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But the online kerfuffle resurfaces broader questions [about what labor Silicon Valley values](#), and why.

Greenwald wrote that his intern would do real work and not grab coffee (which he doesn't drink). The intern would work with Warmly's marketing team, creating “documentary-style videos using AI on what we're doing and why.”

It should also be noted they'd be working for a startup that raised a \$17 million Series A round in February, according to PitchBook data, and \$22 million in overall VC funding. Greenwald did not return requests for comment.

Greenwald soon made LinkedIn amends, and now the internship will be paid—or else [AI would take the job](#). He noted he learned about California's internship laws after “multiple people contacted the California Department of Labor.”

California internships on the lower end pay \$15 to \$25 an hour, according to Jody Thelander, founder and CEO of private markets compensation specialist Thelander Consulting. Internships requiring technical skills pay more, she added.

“In a really hot area right now, [interns and junior hires] are getting a premium,” Thelander said. “It matters less about whether you've had experience versus whether you've had the talent.”

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Looking at entry-level compensation, marketing associates now earn a median of \$69,006 a year, coupled with a minuscule amount of equity, according to Thelander data

tracking pre-IPO companies worldwide. That's down from the \$70,450 early career startup marketers took home during venture capital's boom in 2021.

Associate software engineers, meanwhile, now make a median of \$83,500, up from \$79,825 in 2021.

From unpaid interns to paying interns top dollar

There has long been a pay disparity between technical and non-technical roles in Silicon Valley—just look at the astronomical compensation engineers received during the recent bull market.

Some of that still persists. Take AI assistant startup [Cluely](#), which raised a \$5.3 million seed round in April, led by [Abstract Ventures](#) and [Susa Ventures](#). Leading Cluely: two 21-year-old co-founders, Chungin “Roy” Lee and Neel Shanmugam. Both were recent interns themselves.

The pair told PitchBook they have conviction that earmarking lots of VC cash for lucrative Cluely internships and entry-level positions is the right move. Their engineering interns will make \$200 an hour. The startup calls it the “highest-paying engineering internship in the world.”

Marketing interns at the fast-growing startup are set to make around \$50 an hour. In both cases, the internships' compensation is in line with the value the founders believe candidates bring to the business, as well as job market trends.

Both acknowledged that paying that much is only possible for a startup with meteoric growth and more VC funding. Whether the practice is sustainable for a startup just getting off the ground remains to be seen.

“Companies too often think about the race to the bottom: ‘How can I squeeze in the most performance, while paying [interns] the least amount possible?’ If they’re making your company money, you should probably pay them,” Lee said.

But the current AI boom is likely to complicate the human compensation math and how startups allocate their venture funding. [VCs are already rethinking junior roles](#) as more and more tools make them more efficient, and companies like Shopify have implemented AI-first hiring policies.

This debate is far from settled.

Featured image by Jenna O'Malley / PitchBook

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About [Michael Bodley](#)

Michael Bodley is a senior venture capital reporter at PitchBook News, covering top fund managers and developments affecting limited partners. Based in New York, Michael previously led TheStreet.com's crypto coverage. He also reported for Hedge Fund Alert after breaking into journalism at the San Francisco Chronicle. Originally from Baltimore, Michael graduated from Elon University.

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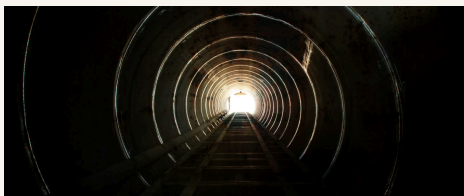
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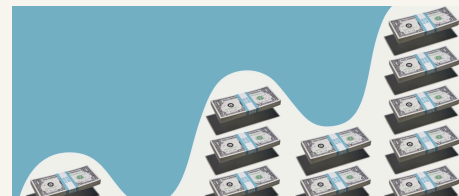


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